Q.P. Code: 54323

Third Semester B.Com. Degree Examination,
December 2025 / January 2026
(SEP Scheme)

COMMERCE
ACCOUNTING STANDARD - I

Time : 3 Hrs

Max. Marks : 80

SECTION - A

Answer any TEN sub questions of the following. Each question carries 2 marks. (10x2=20)

1. a) Define Accounting Standard.
   b) State any benefits of Accounting Standard.
   c) What are inventories as per AS-2 (Revised)?
   d) Define Property Plant and Equipment (PPE) as per AS-10.
   e) Mention the Types of Investments.
   f) Give the meaning of Borrowing Cost.
   g) State any 4 Intangible Assets.
   h) What is a Lease?
   i) State the types of Employee benefits.
   j) Write a note on AS-29.
   k) What is Construction contract?
   l) Define Revenue.

SECTION - B

Answer any SIX questions of the following. Each question carry FIVE marks. (6x5=30)

2. Explain the Standard Setting Process.

3. What is meant by Amortization of an Intangible asset? What are the different methods for amortization as per AS 26?

4. When should provision be recognized as per provisions of AS 29? Explain in brief.

5. You are required to value the inventory per kg of finished goods consisting of:

Particulars	Rs. Per Kg.
Material cost	200
Direct labour	40
Direct variable overhead	20

Fixed production charges for the year on normal working capacity of 2 lakh kgs is Rs. 20 lakhs. 4,000 kgs of finished goods are in stock at the year end.

6. Janatha Ltd. purchased machinery for Rs. 3,000 lakhs. Depreciation was charged at 10% on SLM basis for a useful life of 10 years. At the end of Year 4, the machinery was revalued to Rs. 2,700 lakhs and the same was adopted. What will be the carrying amount of the asset at the end of Year 5 and Year 6? Assume no change in the useful life.

7. S.S. Ltd. is having a plant (asset) carrying amount of which is Rs. 100 lakhs on 31.03.2011. Its balance useful life is 5 years and residual value at the end of 5 years is Rs. 5 lakhs. Estimated future cash flow from using the plant in next 5 years are:

For the year ended on	Estimated cash flow (in lakhs)	Discount @ 10% Rate
31.3.2012	50	0.909
31.3.2013	30	0.826
31.3.2014	30	0.751
31.3.2015	20	0.683
31.3.2016	20	0.620

Calculate "value in use" for plant if the discount rate is 10% and also calculate the recoverable amount if net selling price of plant on 31.3.2011 is Rs. 60 lakhs.

8. The following data apply to Shri Ltd. defined benefit pension plan for the year ended 31.03.2022 calculate the actual return on plan assets:

- Benefits paid	2,00,000
- Employer contribution	2,80,000
- Fair market value of plan assets on 31.03.2022	11,40,000
- Fair market value of plan assets on 31.03.2021	8,00,000

9. The following information of Meghana Ltd. is provided:

(i) Goods of Rs. 60,000 were sold on 20-3-2022 but at the request of the buyer these were delivered on 10-4-2022.

(ii) On 15-1-2022 goods of Rs. 1,50,000 were sent on consignment basis of which 20% of the goods unsold are lying with the consignee as on 31-3-2022.

(iii) Rs. 1,20,000 worth of goods were sold on approval basis on 1-12-2021. The period of approval was 3 months after which they were considered sold. Buyer sent approval for 75% goods upto 31-1-2022 and no approval or disapproval received for the remaining goods till 31-3-2022.

(iv) Apart from the above, the company has made cash sales of Rs. 7,80,000 (gross). Trade discount of 5% was allowed on the cash sales.

You are required to advise the accountant of Meghana Ltd., with valid reasons, the amount to be recognized as revenue in above cases in the context of AS 9.

SECTION - C

Answer any THREE questions of the following. Each question carry 10 marks.(3x10=30)

10. Explain the Criteria for classification of Non-company Entities as decided by the ICAI.

11. On 1.4.2021, Mr. JAGAN purchased 1,000 equity shares of Rs. 100 each to TELCO Ltd. @ Rs. 120 each from a Broker, who charged 2% brokerage. He incurred 50 paise per Rs. 100 as cost of shares transfer stamps. On 31.1.2022, Bonus was declared in the ratio of 1:2. Before and after the record date of bonus shares, the shares were quoted at Rs. 175 per share and Rs. 90 per share respectively. On 31.3.2022, Mr. JAGAN sold bonus shares to a Broker at Rs. 90 per share, who charged 2% brokerage.

    Show the Investment Account in the books of Mr. JAGANA, who held the shares as Current assets and choosing value of investments shall be made at Cost or Market value whichever is lower.

12. First Ltd. began construction of a new factory building on 1st April 2017. It obtained a special loan of Rs. 2,00,000 on the same date at an interest rate of 8% per annum to finance the construction. Additional expenditures were financed through non-specific loans with the following details:

Loan Amount (Rs.)	Interest Rate (per annum)
4,00,000	9%
5,00,000	12%
3,00,000	10%

    Construction Expenditures:

Date	Amount (Rs.)
01-04-2017	3,00,000
31-05-2017	2,40,000
01-08-2017	4,00,000
31-12-2017	3,60,000

    The construction was completed on 31st March 2018. Following the principles prescribed in AS 16 'Borrowing Cost'. Calculate the amount of interest to be capitalised and pass one Journal Entry for capitalising the cost and borrowing cost in respect of the building.

13. An employee Sharath has joined a company XYZ Ltd. in the year 2021. The annual enmoluments of Sharath as decided is Rs. 14,90,210. The company also has a policy of giving a lumpsum payment of 25% of the last drawn annual salary of the employee for each completed year of service if the employee retires after completing minimum 5 years of service. The salary of the Roshan is expected to grow @ 10%

per annum. The company has inducted Sharath in the beginning of the year and it is expected that he will complete the minimum five year term before retiring. Thus, he will get 5 yearly increments.

What is the amount the company should charge in its Profit and Loss Account every year as cost for the Defined Benefit Obligation? Also calculate the current service cost and the interest cost to be charged per year assuming a discount rate of 8%.

Year	4	3	2	1	0
P.V. factor for 8%	0.735	0.794	0.857	0.926	1

14. YODHA Ltd. signed on 01/04/21, a construction contract for Rs. 1,50,00,000. Following particulars are extracted in respect of contract, for the year ended 31/02/22.

Materials used Rs. 71,00,000

Labour charges paid Rs. 36,00,000

Hire charges of plant Rs. 10,00,000

Other contract cost incurred Rs. 15,00,000

Labour charges of Rs. 2,00,000 are still outstanding on 31.3.22

It is estimated that by spending further Rs. 33,50,000 the work can be completed in all respect.

You are required to compute profit/loss for the year to be taken to Profit & Loss Account and any provision for foreseeable loss to be recognized as per AS 7.

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